April 5, 1955

TOP SECRET

MEMORANDUM FOR

THE SECRETARY OF STATE:



Subject: Formosa.

Inspired by the enlightened self-interest of the United States, this country has committed itself, by treaty with the Chinese Nationalist Government, to the defense of Formosa and the Pescadores. The treaty area does not include other islands held by units of the Chinese Nationalist forces. But it is only fair to say that during the course of the past several years, particularly since June 1950, the inter-mixture of warfare, negotiations, public statements and military understandings have given the Chinese Nationalists some right to assume that the United States would probably participate in an active defense of the Quemoy and the Matsu groups of islands.

To do so would commit United States military prestige to a campaign under conditions favorable to the attacker. Because the world generally regards the coastal islands as part of the mainland, our active participation would forfeit the good opinion of much of the Western world, with consequent damage to our interests in Europe and elsewhere. There is much opposition in our own country to becoming involved militarily in defense of the offshore islands, and in the event of such involvement our people would be seriously divided at the very time when increased risk of global war would underline the need for unity. Finally, even a successful defensive campaign would not stabilize the situation; a new attack could be expected

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E.O. 12065, Sec. 3-201
NR 80-336 #3
By DJH Date 3/16/82

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at any time. But with American prestige committed to the success of the defense, a disproportionate amount of our disposable, mobile, reserves would be tied down indefinitely to this one spot.

On the other hand refusal to participate in the defense of the offshore areas might have equally disadvantageous results. First, most observers assert that it would dismay the ChiNats, whose morale and military efficiency are essential to the defense of Formosa -- and the security of Formosa is essential to the best interests of the United States and the Western world. Moreover, further retreat in front of the Chinese Communists could result, it is alleged, in the disintegration of all Asian opposition to the spread of Communism in that continent.

So, today, the Formosan situation presents a hard choice to American political and military leaders; the only logical course of action is to attempt to bring about reasonable changes in the situation rather than to remain inert awaiting the inevitable moment of decision between two unacceptable choices.

The Formosa problem cannot be considered in a vacuum; it is not isolated from the rest of the world. The Chinese Communists have repeatedly announced their determination to capture the island. Opinion in the free world appears to back the American determination to assist the ChiNats in the defense of the main position, that is, Formosa and the Pescadores. But, as stated before, world opinion most emphatically repudiates outside interference in any Communist attack on Quemoy and the Matsus.

As you know, for many weeks I have been devoting time and attention to this problem in the hope of finding some solution. Most of what follows we have often discussed.

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EXISTING SITUATION

Since last September, when the Formosan question first came before the National Security Council for intensive study, we have agreed that the defense of the offshore islands presented to the United States very unpalatable problems, both political and military. I have already alluded to some of these.



Geographically the islands are difficult to defend, and their location minimizes rather than maximizes the usefulness of our overwhelming sea strength, which strength would be particularly effective in defending Formosa against the ChiComs.

The offshore islands are subject to constant harrassing and concentrated destructive artillery fire from the mainland, and are so situated that an amphibious attack against them could be carried forward to the landing stages during the hours of darkness of a single day. In view of the overwhelming land forces available to the Red Chinese and the strength of the bombardment that could be brought to bear on the islands, any successful defense would necessarily require counteraction against the mainland of China itself.

We have ample forewarning of the adverse character of world reaction that would follow any such action on our part, especially if we felt compelled to use atomic weapons -- which we probably would in order to insure success. The Chinese Nationalists would share our loss of free world support through such an operation, while public opinion in the United States would, to say the least, become further divided. If conflict in that region should spread to global proportions, we would be entering a life and death struggle under very great handicaps.

Even though a defensive effort might be temporarily successful, it would in no way remove the existence of the permanent threat; both governments would be led to immobilize more and more military strength for the single purpose of defending the offshore islands, because our prestige would have become involved, even though involuntarily. We would be isolated in world opinion, and this could affect very disadvantageously our treaties with Japan and in the SEATO region.

As long as Chiang has powerful forces deployed on these offshore islands, he is committed to full-out defense. He is gambling his whole position in Formosa and his future as a useful agent in helping to drive Communism from China against a local and possibly temporary success in a precarious defense of two island groups which are militarily weak.



All of these risks and disadvantages exist because of the calculation that for us to persuade Chiang to adopt any other plan would result in a collapse of morale on Formosa and the loss to the free world of that bastion of strength. In other words, the principal military reason for holding these two groups of islands is the estimated effect of their loss upon morale in Formosa.

An added consideration is, of course, the psychological effect of such abandonment on other Asiatic nations. It is generally accepted among our associates that retreat from the Matsus and Quemoy -- if occasioned by any influence of ours -- might create consternation among our friends in Asia, particularly in Thailand, the Philippines, Laos and Cambodia. This, I suspect, is true, and such a result could, of course, counter-balance any gains we might make in winning to our side public opinion elsewhere in the world.



This circumstance, however, in no wise refutes the clear conviction that militarily and politically we and the ChiNats would be much better off if our national prestige were not even remotely committed to the defense of these islands, and if greater force, ready to take advantage of unforseen opportunity, were concentrated on Formosa and the Pescadores. Moreover, if Chiang should develop a satisfactory alternative so that it would, under his leadership, be accepted in Formosa and in Southeast Asia as a shrewd move to improve his strategic position, his prestige should be increased rather than diminished.

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THE PROBLEM

The real questions to be answered are these:

(a). What would be the characteristics of a situation that would appear most advantageous to us from the standpoint of treaty obligations in the defense of Formosa and the Pescadores, solidifying American and free world opinion behind us, sustaining the morale of Chiang and his forces on Formosa, and securing the approval and support of friends in Southeast Asia and in the neighboring islands?



(b). What can we do to bring about, in cooperation with Chiang, the essentials of such a situation?

I believe that the situation best calculated to sustain the interests of ourselves and the free world, and to damage the Communists can be roughly described as follows:

(a). Without abandoning the offshore islands, make clear that neither Chiang nor ourselves is committed to full-out defense of Quemoy and the Matsus, so that no matter what the outcome of an attack upon them, there would be no danger of a collapse of the free world position in the region. (Incidentally, there is room to suspect the sincerity of Chiang's contention that the retention or loss of the offshore islands would spell the difference between a strong and a destroyed Nationalist government on Formosa. If this is so, his own headquarters should be on the offshore islands.)

(b). Initiate, immediately, the process of bringing to Chiang's attention the great advantages, political and military, that would result from certain alterations in his present military plans, as follows:

(1). To regard the offshore islands as outposts and consequently to be garrisoned in accordance with the requirements of outpost positions. This involves vigilant reconnaissance and a maximum of protective works and with properly sited automatic weapons and light artillery, together with effective obstacles, defensive mine systems, and so on. All this should be reinforced by adequate stores of ammunition, of food and medical supplies, all thoroughly protected and available to the garrison as needed. Excess personnel (except such civilians as might decline to leave) should be removed from the islands.



(2). The Nationalist forces on Formosa should assist these garrisons by aerial and sea reconnaissance and fighting support. Plans for defense should be fully coordinated between the forward units and the mobile elements in Formosa.

(3). Adequate plans should be made for determined and persistent defense, and evacuation should take place (if this finally becomes necessary) only after defensive forces had inflicted upon the attackers heavy and bloody losses.

(4). The process of concentrating, equipping and training of troops on Formosa itself should be expedited. The United States could and would help in this process so as to give to Chiang the greatest possible strength in support of his outpost troops on Quemoy and the Matsus, and in preparing and sustaining the bulk of his forces as a weapon of opportunity, ready to take advantage of any political, military or economic circumstance on the mainland that would give to an invasion a reasonable chance of success.

(5). To protect the prestige of Chiang and the morale of his forces, any alteration in military and political planning should obviously be developed under his leadership; above all, there must be no basis for public belief that the alterations came about through American intervention or coercion.

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GENERAL COMMENT

The worldwide political advantages of such an arrangement would be incalculable. These advantages, I think, are so clearly implied in the earlier parts of this memorandum that I shall not attempt to enumerate them. But for ourselves one of the greatest advantages would be a practically solidified public opinion in the United States.

To bring about the desired situation in the Formosan area, the United States would be prepared to help materially. Such help could take any or all of the following forms:

(a). Acceleration of all plans heretofore approved for the development of Chiang's forces on Formosa.

(b). Stationing of certain elements of American forces on Formosa, particularly of the kinds useful in the protection of that island against external attack and to maintain internal morale. For example, the aircraft squadron we presently have there could be increased to a wing. This would allow Chiang's own air forces to devote their exclusive attention to the support of the forward positions. We could station some additional

anti-air craft artillery for the protection of fields, allowing Chiang's units of this kind to be devoted to the protection of cities. We could also station there a couple of regiments of Marines. All of this would be supported by certain logistic formations. Such a layout should have a very fine internal effect, particularly in giving visible evidence to all that the United States is irrevocably committed to the defense of Formosa.

(c). The presence of these troops would likewise be of great assistance in speeding up the training of Chiang's forces, in making certain of prompt replacement of losses, particularly in the air force. Likewise, with this contingent of American forces on the island of Formosa, our own naval units would tend to take a more active part in defensive arrangements, allowing Chiang's forces to be devoted more to active support of the forward positions.



(d). As a final consideration, Chiang would be assured of a much firmer political support throughout the free world than he now enjoys.

While it is true under this system one or more of the forward positions might eventually be lost, such loss would occur only after the defending forces had exacted a fearful toll from the attackers, and Chiang's prestige and standing in Southeast Asia would be increased rather than decreased as a result of a gallant, prolonged and bitter defense conducted under these circumstances. His own losses would be inconsequential both in personnel and in material -- the losses of the Communists should be very great indeed.

Finally, an essential ingredient of success will be the skill of the American negotiator picked to present the whole matter to Chiang. The crux of the negotiations must be that "Chiang must sell himself on the validity and value of the suggested program." This means that the negotiator must be a man whom Chiang trusts and who is himself convinced of the soundness of this program.

As you and I have fully agreed, there is no time for unnecessary delay.



D.D.E.